

Employment Continuity Around Childbirth in Japan's Dual Labour Market

Beatriz Gietner

UCD School of Economics

September 5, 2026

Japan: generous leave, large interruptions, a divided labour market

Japan combines three features that are hard to reconcile:

- **Comparatively generous formal leave entitlements:** childcare leave can extend until the child turns two when, for example, nursery admission is unavailable (MHLW; OECD PF2.1).
- **High employment interruption around childbirth:** maternal employment is considerably lower when the youngest child is aged 0–2 than when children are older (OECD Family Database, LMF1.2).
- **A strongly segmented labour market:** a durable divide between regular (*seishain*) and non-regular (*hi-seiki*) employment, particularly important for women (OECD, 2024).

When women stop working around childbirth, do they remain attached to their jobs?

Two margins: working now, and keeping the job

I separate two outcomes that can be combined into one “employment” measure:

- A. Current work** - is the woman doing paid work in the survey reference month?
- B. Employment attachment** - is she working *or* temporarily absent while retaining a job?

Question. Does pre-birth contract status predict the distinction between a *temporary work interruption* and a *loss of employment attachment*?

Preview. Current work is much lower in the birth-report wave for both regular and non-regular women. The regular/non-regular divide appears in whether that interruption occurs inside an ongoing employment relationship or through loss of attachment.

Related literature: Kleven, Landaïs and Søgaaard (2019); Kleven et al. (2019); Goldin (2014); Yamaguchi (2019); Kikuchi (2026).

Japan's dual labour market I

Regular employment (seishain)

- typically open-ended, career-track employment;
- stronger employment continuity;
- greater practical capacity to maintain an employer relationship through an absence.

Non-regular employment (hi-seiki)

- includes part-time, fixed-term, dispatch and other non-regular positions;
- weaker employment continuity;
- formal leave rights may not translate into the same effective job continuity.

Institutional background: OECD, 2024; JILPT, 2024.

2024: 14.4 million women in non-regular employment and 13.0 million in regular employment. Women make up roughly two-thirds of Japan's non-regular workforce (MHLW, Labour Economy White Paper 2025).

Regular/non-regular is not the same as full-time/part-time. Official employment type is based on the type of position at the workplace, not simply on hours worked (Statistics Bureau of Japan, 2022).

Data and measurement

Data. Harmonised KHPS/JHPS household panels, 2004–2022.

Sample. 631 women observed around a birth-report transition, after excluding 31 higher-parity births (appendix A).

Event time. $t = 0$ is the annual survey wave in which the household reports the focal birth.

$$t = -2 \rightarrow t = -1 \rightarrow \underbrace{t = 0}_{\text{birth-report wave}} \rightarrow t = +1 \rightarrow \dots$$

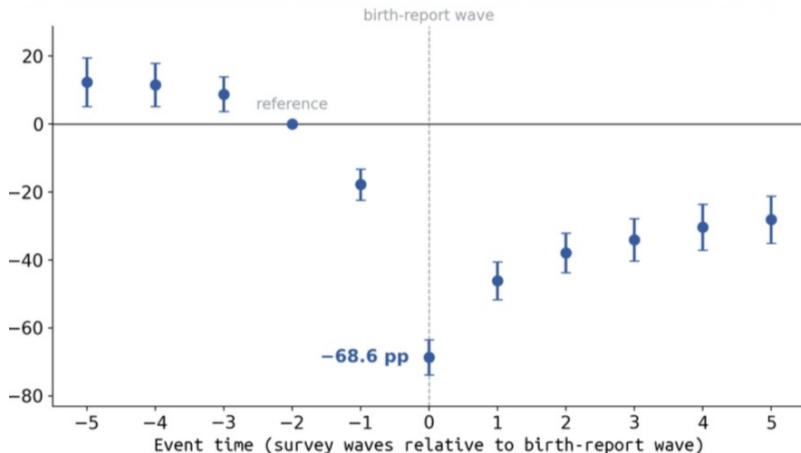
Event time is counted in survey waves; the survey is annual, so the birth is located only to within a wave.

Outcomes.

- **Current work:** reported paid work in the survey reference month.
- **Employment attachment:** current work or temporary absence while retaining a job.

A woman on childcare leave is recorded as not currently working but employment-attached.

Current work around the birth-report wave

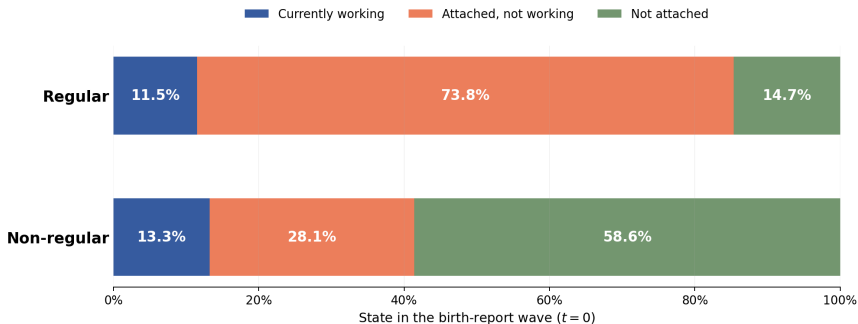


Current work is lowest in the birth-report wave and already lower at $t = -1$.

Coefficients relative to $t = -2$; calendar-year fixed effects; episode-clustered 95% CIs;

Same interruption, different employment continuity

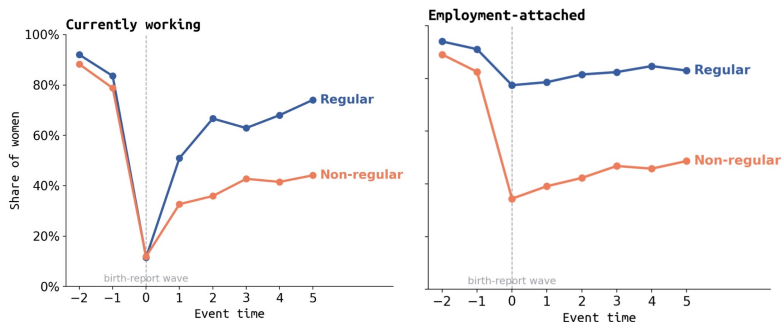
All women below are employment-attached at $t = -1$.



Across the full $t = 0$ sample, **194 of 205 attached non-workers (94.6%) report childcare leave** as the reason for their absence.

Raw shares among 319 classifiable wage workers who were employment-attached at $t = -1$ and observed at $t = 0$. Contract type at $t = -1$. The reason item names childcare leave; annual maternity leave is not a separate category.

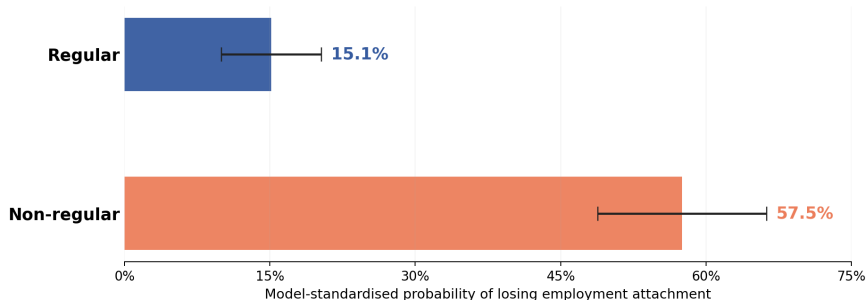
Regular workers retain attachment; non-regular workers often do not



Raw shares over event time by fixed pre-birth contract group (last valid wage-job classification in $t = -5, \dots, -1$). Current work is lowest at $t = 0$ in both groups, with faster recovery among regular workers. Employment attachment remains around 77–85% for regular workers after $t = 0$; for non-regular workers it falls to 34% and reaches only 49% by $t = +5$. Fewer women contribute at longer horizons (appendix L).

Contract status predicts attachment loss

Classifiable wage workers attached at $t = -1$ and observed at $t = 0$ ($N = 319$).



Difference: 42.4 percentage points (95% CI: 32.2 to 52.6)

Model-standardised probabilities from a logit controlling for small-firm status and missing firm size; HC1 95% CIs. The adjusted odds ratio for non-regular status is 7.80 [4.54, 13.40].

The contract divide persists after $t = 0$

	Pre-birth contract	$t = +1$	$t = +3$	$t = +5$
Currently working	Regular	51.0%	62.9%	74.1%
	Non-regular	32.7%	42.7%	44.1%
Still has a job	Regular	78.6%	82.4%	83.0%
	Non-regular	39.1%	46.8%	48.6%

- Regular workers return to current work while retaining a high level of job continuity: around 79–83% still have a job at each post-birth horizon.
- Non-regular workers are much less likely to retain a job: 34% do so in the birth-report wave, rising to about 49% by $t = +5$.

“Still has a job” includes women who are currently working and women temporarily absent while retaining an employment relationship. Contract group is the last valid wage-job classification in $t = -5, \dots, -1$ and is held fixed thereafter. Raw shares are descriptive and composition-sensitive in the unbalanced panel.

Conclusion: leave or exit

- ① **Current work is similarly low in the birth-report wave:** among women attached at $t = -1$, 11.5% of regular workers and 13.3% of non-regular workers are currently working at $t = 0$.
- ② **The interruption takes a different institutional form:** 73.8% of regular workers are attached but not working, while 58.6% of non-regular workers are no longer attached.
- ③ **Adjusted for firm size, the attachment-loss gap is 42.4 percentage points:** 15.1% for regular workers versus 57.5% for non-regular workers (95% CI: 32.2 to 52.6).

Japan's dual labour market turns a common interruption in work into sharply different employment trajectories.

Among women who retain a job while absent from work, **94.6% report childcare leave.**

Thank you

Thank you.
Beatriz Gietner
UCD School of Economics
b.gietner@gmail.com

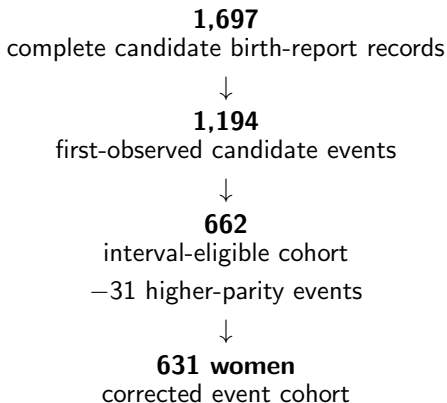
References

- Goldin, Claudia. 2014. "A Grand Gender Convergence: Its Last Chapter." *American Economic Review* 104(4): 1091–1119.
- Kikuchi, Shinnosuke. 2026. "Who Bears the Burden? Heterogeneous Labor Market Penalties of Child and Eldercare." *Journal of the Japanese and International Economies* 80: 101422. doi
- Kleven, Henrik, Camille Landais, and Jakob Egholt Søgaaard. 2019. "Children and Gender Inequality: Evidence from Denmark." *American Economic Journal: Applied Economics* 11(4): 181–209.
- Kleven, Henrik, Camille Landais, Johanna Posch, Andreas Steinhauer, and Josef Zweimüller. 2019. "Child Penalties across Countries: Evidence and Explanations." *AEA Papers and Proceedings* 109: 122–126.
- Yamaguchi, Kazuo. 2019. *Gender Inequalities in the Japanese Workplace and Employment: Theories and Empirical Evidence*. Singapore: Springer.

Institutional and descriptive sources

- Japan Institute for Labour Policy and Training (JILPT). 2024. “Changes and Continuity in Non-Regular Employment in Japan.” JILPT materials.
- Japan Institute for Labour Policy and Training (JILPT). 2019. “Career Interruptions among Women Raising Children: Evidence from the National Survey of Households with Children.” Research presentation at the 106th Labour Policy Forum. JILPT.
- Japan Institute for Labour Policy and Training (JILPT). 2026. Survey of women workers on employment status, gender equality, pregnancy, childbirth and childcare. JILPT.
- OECD. 2024. *OECD Economic Surveys: Japan 2024*. Paris: OECD Publishing.
- OECD Family Database. PF2.1, “Parental Leave Systems,” and LMF1.2, “Maternal Employment.”
- Statistics Bureau of Japan. 2022. *Employment Status Survey: Explanation of Terms and Concepts*.
- Ministry of Health, Labour and Welfare. Childcare and Family Care Leave policy materials.

A. Sample construction



4,923	4,480	627
person-waves	determinate observations	focal-woman episodes

B. Outcome definitions and questionnaire routing

- **Current work:** questionnaire-reported paid work in the reference month; contradictory responses remain missing. Temporary absence while retaining a job does *not* count as currently working.
- **Employment attachment:** current work or job-attached temporary absence. Attached non-workers are labelled “employment-attached”; reported reasons for absence are on slide 6 and appendix N.
- **Weekly hours:** the job block is asked of women who worked and women temporarily absent while retaining a job. For the latter, reported hours describe the job’s usual hours, not realised hours in the reference month.

Routing diagnostic. Of 4,923 person-waves: 49.9% observed positive hours, 38.9% structural skips, 3.8% refusal/don’t-know, 7.0% focal-woman role unavailable, 0.5% contradictory. All 2,425 determinate valid hours reports are positive. Women in job-attached absence are also routed to the hours block (appendix F).

C. Event-study specification

$$Y_{it} = \sum_{k \neq -2} \beta_k \mathbf{1}\{\text{event time}_{it} = k\} + \gamma_t + \varepsilon_{it}$$

- Y_{it} is current work or employment attachment; the hours specification (appendix F) uses women who report current work.
- $t = -2$ is the presentation reference period.
- γ_t are calendar-year fixed effects.
- Pooled OLS; the coefficients are sample-average event-time trajectories in this panel.
- SEs clustered by focal-woman episode; robust and household-clustered SEs in appendix E.

D. Estimates with $t = -1$ as reference

Outcome (vs $t = -1$)	$t = 0$	$t = +1$	$t = +3$	$t = +5$
Current work	-0.508	-0.283	-0.163	-0.104
Employment attachment	-0.218	-0.204	-0.133	-0.133

Current work already falls at $t = -1$, so measured against $t = -1$ the $t = 0$ drop understates the full decline. The main slides use $t = -2$ as reference to show the decline from before it begins.

E. Inference comparison at $t = 0$ (reference $t = -2$)

Outcome	Coefficient	Robust SE	Clustered SE
Current work	-0.686	0.026	0.026
Employment attachment	-0.371	0.030	0.026

Household-clustered and episode-clustered SEs coincide (627 episodes); the three methods give the same inference.

F. Weekly hours by reference-month status

The hours question is asked of women who worked in the reference month and of women temporarily absent while retaining a job; for the latter, reported hours are the usual hours of the job they hold.

Coefficient vs $t = -2$	$t = -1$	$t = 0$	$t = +1$	$t = +3$	$t = +5$
All valid hours reports	-0.52	+1.05	-5.17	-5.84	-9.30
Currently working only	-1.01	-8.08	-7.69	-6.27	-9.35

Calendar-year fixed effects; episode-clustered SEs. At $t = 0$, 180 of 241 valid hours reporters are in job-attached absence and report 38.8 usual hours on average; the 61 women currently working report 27.2. The currently-working row is the labour-supply series.

G. What do the $t = 0$ hours reports contain?

Reference-month status	Valid hours reports	Mean reported hours
Currently working	61	27.2
Job-attached absence	180	38.8

Women in job-attached absence are routed through the hours block, so their reported hours describe the job they hold. Current work is measured from the reference-month status item, and hours are read among current workers.

Current work is therefore measured from the direct reference-month work-status item. Weekly hours are interpreted only among women who report that they are currently working.

H. Attachment-loss model

Risk set. Wage workers employment-attached at $t = -1$, with regular or non-regular contract status observed at $t = -1$ and a determinate $t = 0$ outcome.

Quantity	Estimate
Risk set N (attachment-loss events)	319 (103)
Raw loss: regular	14.7% (28/191)
Raw loss: non-regular	58.6% (75/128)
Adjusted OR, non-regular [95% CI]	7.80 [4.54, 13.40]
Predicted loss: regular [95% CI]	15.1% [10.0, 20.3]
Predicted loss: non-regular [95% CI]	57.5% [48.8, 66.2]
Adjusted difference [95% CI]	42.4 pp [32.2, 52.6]

Logit controlling for small-firm status and a missing-firm-size indicator. The full $N = 357$ specification with a missing indicator gives 42.7 pp and OR 7.87.

I. What this design can and cannot identify

- It **can** show the timing of work interruption and attachment loss around the birth-report wave, and where attachment loss is concentrated across pre-birth contract positions.
- It **can** separate temporary, job-attached absence from loss of the employment relationship.
- It **cannot** make contract type exogenous: selection into regular employment can reflect anticipated continuity.
- It **cannot** estimate the causal effect of a specific leave reform, and event time is survey-wave time rather than time from delivery.
- “Leave or exit” is conceptual shorthand: the data identify job-attached temporary absence; childcare leave is one identified reason, and annual maternity leave is not separately identified.

J. Sample characteristics

Characteristic	Mean / share	SD / valid <i>N</i>
Mother age around focal birth	31.90 years	SD 4.32; <i>N</i> = 630
Partner age	33.78 years	SD 5.71; <i>N</i> = 631
Partner – mother age gap	1.89 years	SD 3.96; <i>N</i> = 630
Mother: university or higher	24.3%	valid <i>N</i> = 255
Partner: university or higher	48.4%	valid <i>N</i> = 399

“Partner” is the spouse recorded in the household at the focal birth.

Education is the latest completed attainment observed by the birth-report wave; valid *N* shown.

K. Education measurement

The education items record whether a respondent is **currently attending**, has **graduated** or has **dropped out**, so a reported level counts as attainment once completion is confirmed. Two measures follow from this.

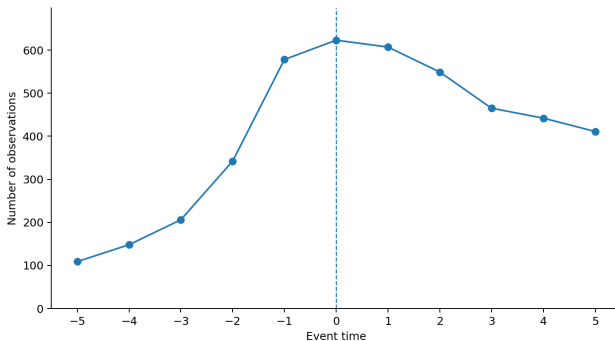
Primary / birth-wave measure

- + temporally appropriate (observed no later than the birth-report wave);
- + requires confirmed completed attainment;
- incomplete coverage: mothers $N = 255$, partners $N = 399$.

Full-history measure

- + much better coverage;
- may include education completed after childbirth;
- spouse-history identity can be ambiguous when spouse signatures change.

L. Event-time support in the unbalanced panel



Far leads require earlier panel entry and far lags continued observation, so fewer women contribute at longer horizons. The $t = 0$ contract comparison is within-wave, and the risk models compare the same women from $t = -1$ to $t = 0$. Support is identical for current work and employment attachment.

M. Balanced-panel contract check ($t = -2$ to $+1$)

The balanced sample contains the same 328 women with determinate current-work and attachment outcomes at every wave from $t = -2$ through $t = +1$. The contract comparison covers the 257 women with a classifiable pre-birth wage job (141 regular; 116 non-regular).

Outcome at $t = 0$	Sample	Regular	Non-regular
Currently working	Unbalanced headline	11.5%	11.9%
	Balanced panel	9.9%	10.3%
Employment-attached	Unbalanced headline	77.4%	34.4%
	Balanced panel	76.6%	33.6%

The attachment gap is 43.0 percentage points in both samples.

Contract group as on slide 7.

N. What is the attached-but-not-working state?

Determinate current-work status at $t = 0$	623
Employment-attached but not currently working	205
Explicit reported childcare leave	194
Named non-childcare reason	8
No recorded usable reason	3

Share of attached non-workers reporting childcare leave: **194/205 = 94.6%** of all cases; among rows with a recorded reason, **194/202 = 96.0%** report childcare leave. Of the 8 named non-childcare reasons, 7 are “other” and 1 is own health.

By fixed pre-birth contract group among attached non-workers: Regular **134/143 = 93.7%**; Non-regular **35/36 = 97.2%**. All 8 named non-childcare reasons occur in the regular group.

The reason item is asked only of respondents temporarily absent while retaining a job. “For childcare leave” is a named response category; annual maternity leave is not separately identified. Contract groups here use the fixed pre-birth classification (slide 7), so counts differ from the $t = -1$ risk set (slide 8).

O. The contract divide appears within occupations

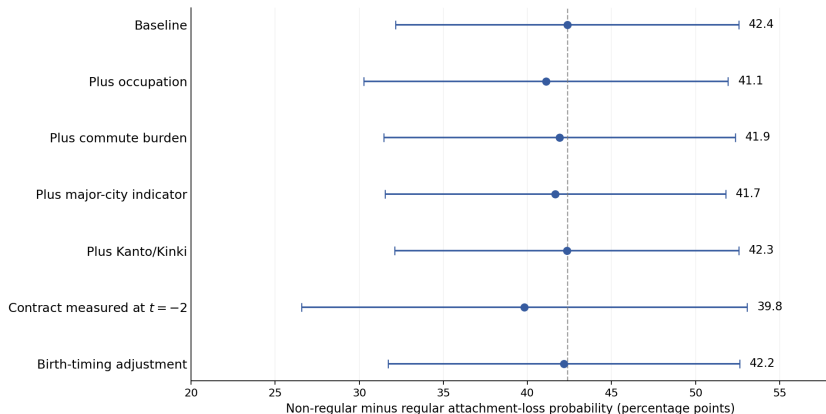
Displayed below are the three well-supported broad occupation groups among classifiable wage workers in the $t = -1$ attachment-risk set.

Broad occupation	Regular		Non-regular		Gap
	N	Loss	N	Loss	
Professional / managerial / IT	78	9.0%	27	59.3%	50.3 pp
Clerical	74	18.9%	41	58.5%	39.6 pp
Sales and services	31	19.4%	49	59.2%	39.8 pp

Non-regular attachment loss is about 59% in every well-supported occupational group.

Raw loss between $t = -1$ and $t = 0$. Adding broad occupation to the adjusted model moves the regular/non-regular probability difference from 42.4 to 41.1 pp. Occupation is itself a pre-birth sorting outcome, so it enters as a robustness check.

P. The attachment gap is stable across specifications



Model-standardised non-regular minus regular attachment-loss probability, with HC1 95% CIs. The first five models use the same $N = 319$ classifiable wage-worker risk set; the $t = -2$ contract check uses $N = 200$ and the birth-timing adjustment uses $N = 311$. In the balanced short-window panel, the raw $t = 0$ attachment gap is also 43.0 pp.

Q. Why are women concentrated in non-regular employment? I

Several forces push in the same direction:

- **Regular employment is difficult to combine with care.** Long hours, overtime, transfers, and expectations of availability have historically characterised the regular-employment track (JILPT, 2019).
- **Non-regular work can offer more control over working time.** Women place particular value on flexibility in working hours when combining employment with family responsibilities (JILPT, 2019).
- **Marriage and childbirth reinforce the sorting.** Much of women's subsequent return to employment occurs through non-regular jobs, even among women who previously held regular positions (OECD, 2024).
- **Tax and social-insurance rules have historically reinforced this pattern.** Incentives facing married secondary earners encourage earnings below contribution thresholds and can encourage non-regular employment (OECD, 2024).

Q. Why are women concentrated in non-regular employment? II

- **Employer demand matters too.** Firms use non-regular employment to reduce labour costs and increase workforce flexibility (OECD, 2024).

Takeaway: women facing care constraints may sort - or be pushed - into the part of the labour market that is easier to combine with family responsibilities, but that also offers weaker employment continuity.

R. What do women themselves say?

Among women working outside regular employment in a 2026 Japanese survey, the most common reasons for doing so were:

29.9%

“I did not think I could work in the way regular employees do.”

25.2%

Childcare or eldercare responsibilities.

14.0%

Wanted regular employment but could not obtain it.

Interpretation

Flexibility is part of the story, but “preference” is too simple.

The concentration of women in non-regular employment reflects both care constraints and limits on access to regular jobs.

Source: JILPT, 2026.